

sequence of returns risk. While the product does not explicitly provide insurance against an early bear market, it indirectly overcomes the risk, because payments are fixed and guaranteed regardless of market fluctuations.

What is Your Retirement Product GPA?

	Risk Management Attributes			Goal Achievement Attributes				
	Inflation	Sequence of Returns	Longevity	Liquidity	Behavioral	Estate	Fees and Expenses	Product Score
LPIA (Lifetime Payout/ Income Annuity)	1.0	2.0	5.0	0.0	5.0	0.0	0.0	13.0
SWiP (Systematic Withdrawal Plan from investments)	4.0	0.0	0.0	5.0	1.0	5.0	-2.0	13.0
GLIB (Guaranteed Living income or withdrawal Benefit for life)	2.0	5.0	3.0	1.0	3.0	3.0	-4.0	13.0

Figure 10.1 The different strategies, each with a grade point average.

Source: Moshe Milevsky and the IFID Centre, 2008.

Moving on to the SWiP category, Figure 10.1 shows a reversal in risk management strengths, compared to the LPIA: The product receives the highest grade for the inflation hedging attribute. The investment choices within a SWiP account are virtually endless and the underlying asset allocation is under the control of the investor. This allows him to select investments that tend to outpace the rate of inflation.

The SWiP ranks the lowest, however, for the sequence of returns attribute. It offers no protection against potential market drops in the fragile risk zone. This shortfall might result in a damaging and lasting financial effect on retirement. And while a SWiP allocation heavily weighted in fixed-income investments might overcome market volatility, it might lead to low growth. As a result, investments might not keep up with the rate of inflation and the retiree may “outlive” her funds.